

Modern coinage came much later, first emerging in Lydia around 600 BCE and providing what we think of as today's functions of money: unit of account, medium of exchange, and store of value. Important characteristics of money included durability, portability, divisibility, uniformity, limited supply, acceptability, and stability. Bank notes, originating in China, made their way to Europe in the thirteenth century.

Nonphysical transfer of money originated in 1871 with Western Union. Figure 2.1 shows a copy of an early transfer for \$300. Notice how the fees amount to \$9.34, or roughly 3 percent. It is remarkable that so little has changed in 150 years: money transfers are routinely more expensive, and credit card fees are 3 percent.

WESTERN UNION TEL. CO. [Form B.]

TELEGRAPH TRANSFER, No. _____

RECEIVED of *C.C. Antoine*

Three Hundred

to be paid to *Jas H Ingraham*

at *New York*

Dated at *New Orleans Aug 25 1873*

Amount of Transfer, \$ *300.00*

* Premium 1 per cent. *3.00*

Cost of Telegram, *6.34* TOTAL, \$ *309.34*

*No Premium will be less than 25 Cents.

WESTERN UNION
Telegraph Office
AUG 25 1873
37 CENTS
100 DOLLARS

Figure 2.1 Western Union transfer from 1873

Source: Western Union Holdings, Inc.